



Though Andhra Pradesh is traditionally known for the close nexus between cinema and politics, "political television" is yet to make an entry. However, the market leader, ETV and ETV2, part of the 12-channel ETV network run by the mammoth Eenadu group, has always been close to TDP. Things may change now if the Congress goes on with its plan of launching a regional channel in the state.

According to Kumar, the reasons for the proliferation of such channels are many. This includes fall in production costs and rise in earnings. "The cost of setting up a channel has come down to about one-tenth of what it used to be 10 years ago. Today you just need Rs 50 lakh to put a channel on air and run it for at least three months," he says. The explosion of channels has seen advertisement revenue shoot up phenomenally. The Malayalam market, worth Rs 20 crore 10 years ago, is now worth Rs 300 crore. The television advertisement pie in Tamil and Telugu has doubled from Rs 300 crore two years ago. With the emergence of regional players like jewellery traders, saree shops and construction companies, regional chan-

RIGHT SIGNALS: Achuthanandan launches CPI(M)-owned Kairali TV; (below) Kumaraswamy with wife Anita

nels are no more dependent on national corporate advertisers.

These channels come with added advantages. "No advertiser says no to them and they are never turned down by Multi-Service Operators (MSOs), who need the support of the political parties to function," says Kumar. According to him, these parties do not pay any fees to MSOs, saving Rs 20-25 crore annually. But V. Krishna Kumar, CEO, Symphony TV, who helped set up both Kairali and Jai Hind says that corporate groups which give liberal donations to channels launched by political parties do not always give

them advertisements. "Advertisements are decided on the basis of pure business plans while donations are to please political parties," he says. The fact that Kairali and Indivision could survive proves that they have been able to attract reasonable revenues. But many in the industry say parties often resort to various tricks to attract revenue, which range from offers of special treatment by their government (or if in opposition, promises such treatment on coming to power) to threatening those who resist.

Yet these channels can hardly be called big grossers. The mushrooming of politically-backed channels does not appear to be driven by immediate economic prospects. With the exception of Sun TV Network, which controls a major share of the Tamil market and hence is the largest grosser of advertisement revenue—raking in Rs 600 crore of the Rs 800-crore Tamil television revenue—not many party-backed channels make good money. In Kerala, the six-year-old, CPI(M)-backed Malayalam Communications, promoters of Kairali and People channels, though at the third place in the Malayalam market after Asianet and Surya, could get out of the red only in the third year of its operation. Launched with an investment of Rs 55 crore in 2001, it ended the first year with a loss of Rs 7.29 crore. But it turned a corner by 2004-05 with a net profit of Rs 1.12 crore, which climbed to Rs 4 crore the next year. Indivision ended its third year in 2005-06 with a net loss of Rs 3.2 crore. "No news channel makes big money. It's usually its sister entertainment channels that are able to attract huge amount of revenue," says M.V. Nikesh Kumar, the channel's CEO. Despite this, major media houses have found it worthwhile to launch these channels. Says Kairali CEO John Britas, "News channels can be called loss centres. They take in a lot of money but give out almost nothing. But nobody can do without the prestige and clout such a channel has." And with early elections almost certain, most political parties are now expecting this clout to work wonders for them.

with Amarnath K. Menon, Anand A. Natarajan and Stephen David

